such as scaling, filling technology gaps, or addressing financial concerns. In the semiconductor industry, mergers and acquisitions have been driven by the need for scale and strategic goals in one's portfolio.

While the industry is currently experiencing a cyclical downturn, the long-term outlook remains bright due to transformative trends like IoT, AI, electrification, and Industry 4.0. These trends will continue to shape the industry and drive mergers and acquisitions.

How does a company identify a potential target for acquisition?

Financially, we evaluate the industry across four end-market pillars—infrastructure, IoT, industrial, and automotive. We assess which segments within these align with our competencies and identify any gaps in our capabilities.

However, if developing the required technologies internally would take an extensive amount of time, it makes more sense to consider an acquisition. The decision depends on the time it would take to achieve long-term success and whether acquisition offers a quicker route.

Our acquisition of Panthronics exemplifies our strategy of harnessing existing technologies rather than investing significant time and resources into their development. Established players like NXP Semiconductors and STMicroelectronics have dedicated over a decade to Near-field Communication (NFC) technology, and attempting to match their progress would be a painful exercise, and there's no guarantee of success. Panthronics, on the other hand, possessed a differentiated NFC technology that aligned with our goals, and which we could utilise to the maximum, so we went ahead and acquired it.

Similarly, in the case of Wi-Fi, starting from scratch would have entailed a lengthy process, potentially spanning a decade. To speed up things, we opted to acquire Celeno Communications in 2021, for the simple reason that internal development would take too long.

What are the potential challenges that companies face during an integration process, and how do you deal with them?

The primary challenge during integration is to support existing customers while scaling up the business. Fortunately, in most of our acquisitions, we have already worked with the companies for a significant period.

For example, with Panthronics, we collaborated for close to five years, field-tested their products, and have confidence in their performance. In general, successful execution determines how well you end up in the marketplace.

What will be the impact of the acquisition of Panthronics on the existing customers of both Renesas and Panthronics?

Renesas offers smaller companies like Panthronics the opportunity to scale up rapidly by leveraging their sales channels and marketing communications.

On the other hand, Panthronics would give us an ability to close the technology gap in short-range, lower-data-rate communication. It enables us to pursue new markets such as mobile POS (point of sale), keyless entries, NFC charging, and more. These capabilities complement our existing portfolio and bridge technological gaps.

Do you see giants like Renesas acquiring Indian companies in the semiconductor space?

We acquired Steradian Semiconductors, a fabless semiconductor company based in Bengaluru, that provides 4D imaging radar solutions for its radar capabilities in October last year. We saw something differentiated in their technology that gave us a credible advantage in the marketplace.

Renesas focuses on talent, the right people, and closing technology gaps—regardless of geographical location. We are open to acquisitions in all regions in the world where it makes strategic sense.

Prime Minister Modi aims to make India a global electronics manufacturing hub by 2030. How can this growth be accelerated?

It's a good question. I've had this discussion with the Union Minister of State for Electronics and Information Technology, Rajeev Chandrasekhar-ji as well. India needs to establish a robust electronics manufacturing services (EMS) ecosystem. The government's efforts in this direction have already attracted major companies to manufacture in India.

I think once the EMS ecosystem starts expanding, the manufacturers would need to buy components in the Indian market. Strengthening the value chain and increasing domestic production will accelerate growth.

What is Renesas' long-term plan for growth in India and globally? What milestones are you aiming to achieve?

Renesas focuses on several key growth elements such as AI, IoT, robotics, and sustainability. On the automotive side, we see a significant growth area in the electrification of vehicles.

Sustainability is a globally pervasive trend across industries. Many industries are now migrating to more automated robotic situations to drive sustainability. Industry 4.0, AI in infrastructure, IoT, and secure environments also contribute to growth. Our objective is to gain and sustain the market share by accelerating our efforts in these areas and outperforming the competition. EFY